

Non-Solvency II Firms - Conduct Standards

Source: <https://www.prarulebook.co.uk/prarules/non-solvency-ii-firms---conduct-standards/03-03-2026>

Effective Date: 03-03-2026

Type: PRA Rule

Scraped: 2026-03-02 20:52

1

Application and Definitions

1.1

This Part applies:

1. (1) to a small non-directive insurer ; and
2. (2) in relation to a small non-directive insurer , to any person who is:
 1. (a) a Conduct Rules non-executive director ;
 2. (b) approved under section 59 of FSMA by either:
 1. (i) the PRA ; or
 2. (ii) the FCA , in relation to a relevant senior management function;
 3. (c) a certification employee ;
 4. (d) an employee who should have been approved under section 59 of FSMA by either:
 1. (i) the PRA ; or
 2. (ii) the FCA , in relation to a relevant senior management function; or
 5. (e) an employee who is performing a function that would have been a controlled function but for Non-Solvency II Firms ? Senior Management Functions 2.3.

1.2

In this Part the following definition shall apply:

employee

has the meaning given in Non-solvency II Firms ? Certification 1.2.

1A

Scope of Conduct Standards

1A.1

If you are a natural person who is approved under section 59 of FSMA by either:

1. (1) the PRA ; or
2. (2) the FCA , in relation to a relevant senior management function ,

you must comply at all times with all of the conduct standards.

1A.2

If you are a _Conduct Rules non-executive director_ , you must comply at all times with the _conduct standards_ specified in 2.1 to 2.3, 2.7 and 2.8.

1A.3

If you are an _employee_ of a type specified in 1.1(2)(c), 1.1(2)(d) or 1.1(2)(e) you must comply at all times with the _conduct standards_ specified in 2.1 to 2.3.

1A.4

A _firm_ must require:

1. (1) a natural _person_ of a type specified in 1.1(2)(b) to observe all of the _conduct standards_ ; and
2. (2) an _employee_ of a type specified in 1.1(2)(c), 1.1(2)(d) or 1.1(2)(e) to observe the _conduct standards_ specified in 2.1 to 2.3.

2

Conduct Standards

2.1

Conduct Standard 1: You must act with integrity.

2.2

Conduct Standard 2: You must act with due skill, care and diligence.

2.3

Conduct Standard 3: You must be open and co-operative with the _FCA_ , the _PRA_ and other regulators.

2.4

Conduct Standard 4: You must take reasonable steps to ensure that the business of the _firm_ for which you are responsible is controlled effectively.

2.5

Conduct Standard 5: You must take reasonable steps to ensure that the business of the _firm_ for which you are responsible complies with the relevant requirements and standards of the _regulatory system_.

2.6

Conduct Standard 6: You must take reasonable steps to ensure that any delegation of your responsibilities is to an appropriate _person_ and that you oversee the discharge of the delegated responsibility effectively.

2.7

Conduct Standard 7: You must disclose appropriately any information of which the _FCA_ or the _PRA_ would reasonably expect to have notice.

2.8

Conduct Standard 8: When exercising your responsibilities, you must pay due regard to the interests of current and potential future _policyholders_ in ensuring the provision by the _firm_ of an appropriate degree of protection for their

insured benefits.